COMPANY'S DIVIDEND POLICY

(equity dividend)

Introduction

- Retained earnings are an important source of finance for both long and short-term purposes.
- They have no issue costs, they are flexible and they don't result in a dilution of control.
- The decision to use retained earnings as a source of finance will have a direct impact on the amount of dividends it will pay to shareholders.

Theories on dividend

- There are three main theories concerning what impact a cut in the dividend will have on a company and its shareholders namely.
- Dividend relevance theory
- Dividend irrelevance theory
- Residual theory

Traditional theory or relevance theory

- It is assumed that investors depends on dividend as a source of income.
- Thus, the amount payable is considered to have an influence on the share value.
- This is the basis of the dividend valuation model

Theories cont.

- An increase in dividend payable is expected to enhance company value assuming that shareholders will strive to increase their investment so as to get more dividend

- $$Po = \frac{d_o(1+g)}{re - g}$$

Relevance theory

- **Practical influences, including market imperfections, mean that changes in dividend policy, particularly reductions in dividends paid, can have an adverse effect on shareholder wealth:**
- **Reductions in dividend can convey 'bad news' to shareholders (dividend signalling).**
- **Reductions in dividends, may conflict with investor liquidity requirements (selling shares to 'manufacture dividends' is not a costless alternative to being paid the dividend).**

Relevance theory

- Changes in dividend policy may upset investor tax planning (e.g. income v capital gain if shares are sold).
- Companies may have attracted a certain clientele of shareholders precisely because of their preference between income and growth
- As a result companies tend to adopt a stable dividend policy and keep shareholders informed of any changes.

Dividend Irrelevance theory-1

- **Modigliani and Miller argued that in a perfect capital market (*no taxation, no transaction costs, no market imperfections)*, the dividend policy is irrelevant.**
- **Existing shareholders will only be concerned about increasing their wealth, but will be indifferent as to whether that increase comes in the form of a dividend or through capital growth.**

Dividend Irrelevance theory

- A company can pay any level of dividend, with any funds shortfall being met through a new equity issue, provided it is investing in all available positive NPV projects.
- If they need cash, then any investor requiring a dividend could "manufacture" their own by selling part of their shareholding.
- Equally, any shareholder wanting retentions when a dividend is paid can buy more shares with the dividend received.
- Most of the criticism of M&M's theory surrounding the assumption of a perfect capital market.

Dividend Irrelevance theory

- M and M argued that company value can be enhanced by the firms ability to invest in viable projects from the NPV perspective and not through the payment of dividend.
- Thus, firms needs to focus on optimizing their investment strategies if they are to increase the value.

Residual theory

- It argues that dividends are important but the pattern of them is not.
- The residual theory argues that provided the present value of the dividend stream remains the same, the timing of the dividend payments is irrelevant.
- It follows that only after a firm has invested in all positive NPV projects should a dividend be paid if there are any funds remaining.
- Retentions should be used for project finance with dividends as a residual.
- This theory still takes some assumptions like no taxation and no market imperfections.

Practical influences on dividend policy

- **Legal position:**
- **Dividends can only be paid out of profits irrespective of the firm's liquidity position. No profits no dividends.**
- **Profitability**
- **All other things being equal, the more stable the profit the greater the proportion that can be safely paid out as dividends.**
- **If profits are volatile it is unwise to commit the firm to a higher dividend payout ratio.**

Practical influences on dividend policy

- **Inflation**
- **In periods of inflation, paying out dividends based on historic cost profits can lead to erosion of the operating capacity of the business.**
- ***For example,* insufficient funds may be retained for future asset replacement.**
- **Growth**
- **Rapidly growing companies commonly pay very low dividends, the bulk of earnings being retained to finance expansion.**

Practical influences on dividend policy

- **Dividend Signaling**
- **In reality, investors do not have perfect information concerning the future prospects of the company. Thus, the pattern of dividend is perceived to provide information of the firm's future performance.**
- **Preference for current income**
- **Many investors (individuals and firms) require cash dividends to finance current consumption.**

Practical influences on dividend policy

- **Control:** The use of internally generated funds does not alter ownership or control.
- This can be advantageous particularly in family owned firms.
- **Liquidity:** Sufficient liquid funds need to be available to pay the dividend and fund working capital requirements.
- **Tax**
- The personal tax position of investors may put them in a position of preferring either dividend income or capital gains through growing share prices.
- If the clientele of investors in the company have a clear preference for one or the other, the company should be wary of altering dividend policy and upsetting investors.

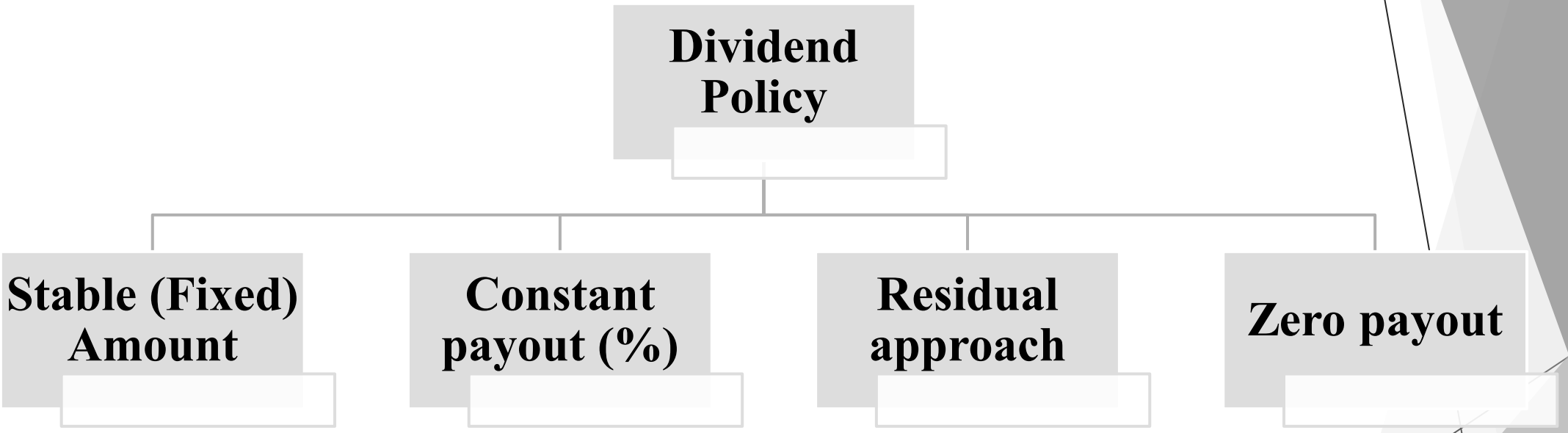
Practical influences on dividend policy

- **Other sources of finance**
- **If a firm has *limited access to other sources of funds*, retained earnings become a very important source of finance.**
- **Dividends will therefore tend to be small. This situation is commonly experienced by unquoted companies that have very limited access to external finance**

Dividend capacity

- This the firm's ability to pay dividends to its shareholders.
- It has a direct impact on a company's ability to implement its dividend policy.
- Legally, the firm's dividend capacity is determined by the amount of accumulated distributable profits.
- Practically, the dividend capacity can be calculated as the Free Cash Flow to Equity (after reinvestment), in that the cash available determines what the firm can afford to pay.

Dividend policy in practice



Stable dividend policy

- **Paying a constant or constantly growing dividend each year:**
  - **Offers investors a predictable cash flow.**
  - **Reduces management opportunities to divert funds to non-profitable activities.**
  - **Works well for mature firms with stable cash flows.**
  - **However, there is a risk that reduced earnings would force a dividend cut with all the associated difficulties.**

Alternatives to cash dividends

- **Share repurchase:**
  - **Consider using cash to buy back shares as an alternative to dividend particularly were surplus cash is available.**
- **Scrip dividends:**
  - **A company allows its shareholders to take their dividend in form of new shares rather than cash.**
  - **Extra shares are given to existing shareholders out of the current earning.**

Alternatives to cash dividends

- **Scrip (bonus) issue:**
  - **Extra shares are given to existing shareholders out of the reserves. This is an alternative to a cash dividend. No wealth changes hands.**
  - **New shares are given for free and in proportion to existing shareholding.**

Constant payout ratio

- ***Paying out a constant proportion of equity earnings:***
  - **maintains a link between earnings, reinvestment rate and dividend flow but**
  - **cash flow is unpredictable for the investor**
  - **gives no indication of management intention or expectation.**

Zero dividend policy

- All surplus earnings are invested back into the business. Such a policy:
  - is common during the growth phase
  - should be reflected in increased share price.
- When growth opportunities are exhausted (no further positive NPV projects are available):
  - cash will start to accumulate
  - a new distribution policy will be required.

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Residual dividend policy

- **A dividend is paid only if no further positive NPV projects available.**

  This may be popular for firms:

  - **in the growth phase**
  - **without easy access to alternative sources of funds.**
- **However:**
  - **cash flow is unpredictable for the investor**
  - **gives constantly changing signals regarding management expectations.**